

average of prices in the stock exchange. With varying constituents and, in earlier years, with a smaller number of securities, but continuously these have been kept by the Dow-Jones news service for thirty years or more.

There is a method of reading them which has been fruitful of results, although the reading has on occasion displeased both the optimist and the pessimist. A barometer predicts bad weather, without a present cloud in the sky. It is useless to take an axe to it merely because a flood of rain will destroy the crop of cabbages in poor Mrs. Brown's backyard. It has been my lot to discuss these averages in print for many years past, on the tested theory of the late Charles H. Dow, the founder of *The Wall Street Journal*. It might not be becoming to say how constantly helpful the analysis of the price movement proved. But one who ventures on that discussion, who reads that barometer, learns to keep in mind the natural indignation against himself for the destruction of Mrs. Brown's cabbages.

What we need are soulless barometers, price indexes and averages to tell us where we are going and what we may expect.

DOW'S THEORY

Dow's theory is fundamentally simple. He showed that there are, simultaneously, three movements in progress in the stock market. The major is the primary movement, like the bull market which set in with the re-election of McKinley in 1900 and culminated in September, 1902, checked but not stopped by the famous stock market panic consequent on the Northern Pacific corner in 1901; or the pri-